



INTERNATIONAL MARKET-ENTRY STRATEGY

Costco Wholesale in São Paulo, Brazil

A desk strategy for entering Latin America's largest consumer market

TEAM

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Five Pillars of the Strategy

This report builds a desk strategy for Costco's entry into São Paulo — refined with feedback from our professor and our Brazilian contact.

01

Economic Landscape

Market size, income, and pricing position

02

Social & Cultural Environment

Family values, roles, and advertising norms

03

Advertisement

Channels, regulation, tagline, and endorsements

04

Target Market

Who we reach first, and where

05

Product Features

Assortment, packaging, and labeling

Our Recommendation

Costco should enter Brazil through São Paulo — its largest, wealthiest, and most infrastructure-ready city — leading with urban middle- and upper-middle-income households before expanding to small business members.

1

Where

São Paulo, starting in Pinheiros — dense, affluent, and warehouse-club-ready

2

Who

Household decision-makers of every kind, plus small business owners

3

How

Warm, family-focused messaging carried through an omnichannel campaign

4

What

Core Costco value, localized with Brazilian staples and churrasco favorites

São Paulo Outspends the Nation

12M+

São Paulo residents

200M+

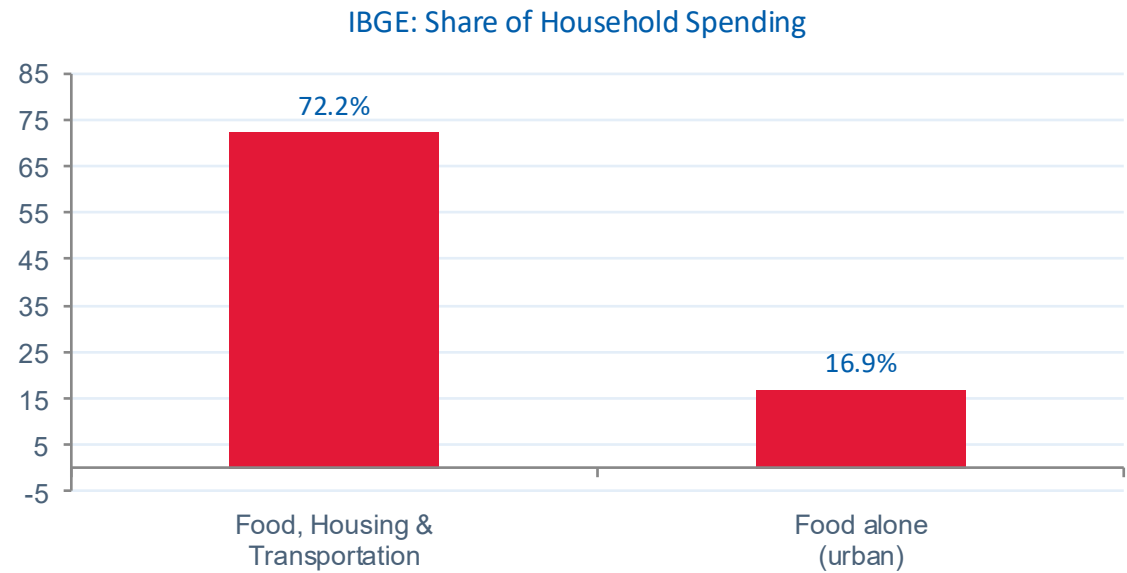
Brazil's population

\$18,500

São Paulo GDP/capita ('23)

\$10,000

Brazil GDP/capita ('24)



DISPOSABLE INCOME & PRICING

São Paulo's average disposable income reached roughly \$520/month (~\$6,300/year) in 2024 — well above the national average, and evidence of real purchasing power for a warehouse-club model.

Costco should price slightly below premium supermarket chains — enough to attract middle- and upper-income shoppers while preserving its value-based identity, adjusted for import costs and local competitor pricing.

Family First, Always

A RELATIONSHIP-ORIENTED MARKET

Brazil's consumer culture is relationship-oriented, family-centered, and media-rich. Costco should use warm, family-focused messaging rather than replicating a U.S. campaign.

Many Brazilian families already make monthly stock-up trips to atacadão-style stores, using regular supermarkets only for missing items — Costco's bulk model would not feel unfamiliar.

Costco should target household decision-makers broadly — couples, parents, working professionals, and small business owners — rather than assuming a single gender decides.

ADVERTISING MUST BE COMPLIANT

Brazil's advertising environment is regulated by the Consumer Protection Code and CONAR, which require ads to be truthful, identifiable, and never misleading or abusive.

Costco should explain membership savings clearly, display prices in Brazilian reais, and communicate value in a direct but culturally warm way.

SUGGESTED CHANNEL MIX

- Sales promotions
- Family-focused advertising
- TikTok creators & Instagram
- Billboards, flyers & stickers

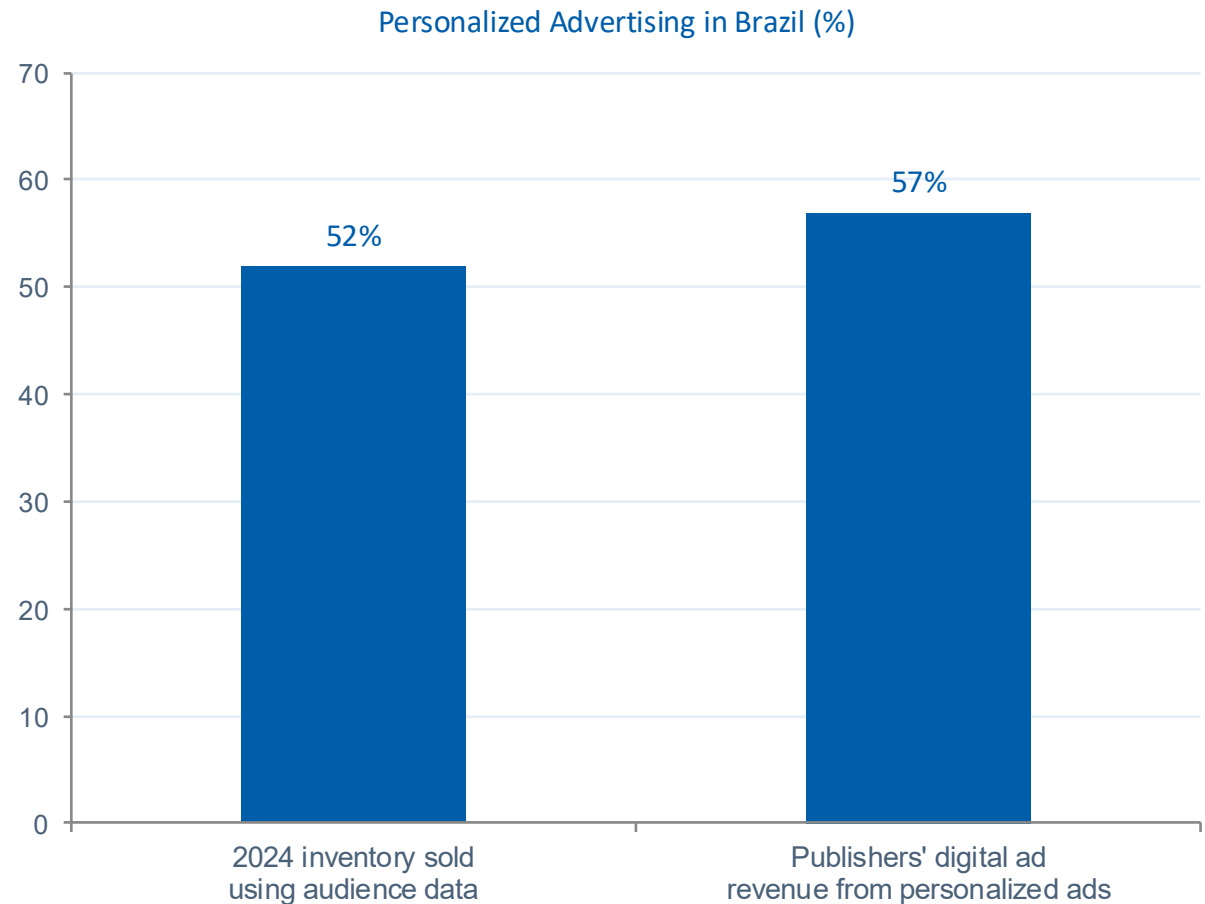
03

PART THREE

The Advertisement Strategy

How Costco builds awareness, earns trust, and stays compliant while doing it.

Brazil Runs on Digital, Personalized Ads



\$18.6B

Estimated total ad spending in Brazil in 2025 (Statista)

Given how successful personalized, data-driven advertising is in Brazil, Costco will release a series of ads and digital content across social media rather than a single static campaign.

All advertising will stay compliant with CONAR and CONANDA — truthful, ethical, and clearly identifiable as advertising at every touchpoint.

A Campaign Built on Trusted Faces

PROPOSED CAMPAIGN TAGLINE

“Lindo maravilhoso — to do the right thing.”

CELEBRITY & INFLUENCER ENDORSEMENT

In Brazil, influencers move younger audiences, but celebrities carry weight with older ones too. Costco will pair influencer collaborations with recognizable faces for household shoppers:

Kleber Toledo

Wagner Moura

Gisele Bündchen

Brad Pitt (intl. crossover)

BEYOND SOCIAL: EARNED & OUT-OF-HOME

Billboards can work alongside a strong social media push — state-run TV commercials alone won't cut it in this market.

Flyers paired with discount stickers on membership cards give Costco a tactile, shareable way to reward new sign-ups.

Reading Between the Lines

1

Masculine, but Split by Role

Hofstede's Masculinity dimension is relatively high in Brazil. Men are typically seen as the head of household for decisions, while women take charge of day-to-day household matters — so Costco's messaging should speak to both.

2

A High-Context Language

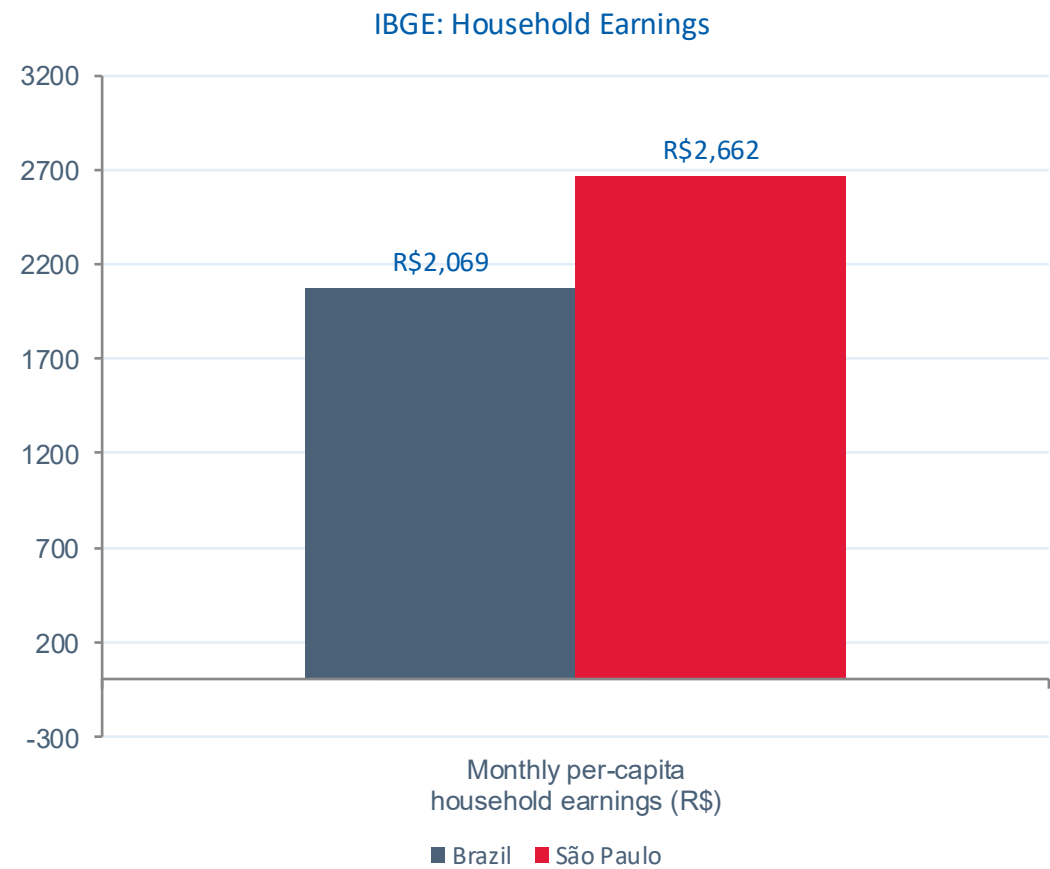
Portuguese in Brazil is high-context: cues and reading between the lines are common. There's room for playfulness in advertising, and body language and tone matter as much as words.

3

Women Lead the Shopping Cart

Because Costco is a home-focused membership warehouse, most of the audience will be women — who respond to language about nurturing, social harmony, and relationships, not just price.

Starting Where the Model Fits Best



PRIMARY TARGET

Urban middle- & upper-middle-income households in São Paulo

Pinheiros stands out as a strong launch neighborhood, with a concentration of middle- and upper-middle-income residents.

SECONDARY TARGET

Small business owners & self-employed bulk buyers

The ideal Costco customer is omnichannel — engaging across platforms before ever visiting the store.

TARGET MARKET

Winning Beyond Price

Brazil already has established cash-and-carry competitors — Costco must differentiate itself beyond price alone.

KEY COMPETITORS

Atacadão

Major competitor — already serves bulk-buying, lower- and middle-income shoppers at scale.

Assaí Atacadista

Established cash-and-carry chain with strong regional presence across Brazil.

HOW COSTCO DIFFERENTIATES

Membership becomes more attractive with perks competitors don't offer — like an in-club gym or an açaí protein smoothie stand.

Brazilian consumers use both digital and traditional media, so Costco should run a true omnichannel strategy that reinforces membership value, savings, and quality at every touchpoint.

This consistency — not just low prices — is what will pull shoppers away from established cash-and-carry chains.

05

PART FIVE

Product Features

Keeping Costco's core value proposition while localizing the assortment for Brazilian tables.

Stocked for Brazilian Kitchens

Pantry Staples

Rice, beans, cassava flour, coffee, cooking oil, pasta, dairy products

Brazilian Favorites

Pão de queijo, coxinha, salgadinhos, açaí, guaraná, coconut water, tapioca, farofa

Churrasco Cuts

Picanha, fraldinha, alcatra, linguiça, chicken cuts, and pork ribs

Treats & Imports

Dulce de leche, Coca-Cola, Brazilian-style bulk snacks, plus trending imports like Biscoff

Imported and trending items create excitement but should stay a supporting role — long-term success depends on staying relevant to Brazilian households, offered in both bulk and moderate family-sized packages.

Labeled for Local Trust

- | | | |
|---|-----------------------------------|--|
| 1 | Portuguese labels | All packaging text in Portuguese, with clear, direct communication of value. |
| 2 | Reais pricing | Prices shown in Brazilian reais, never converted or dual-listed in USD. |
| 3 | Bulk + family-sized | Both formats offered, improving accessibility for first-time members. |
| 4 | Origin & ingredients | Product info clearly shows value, origin, and ingredients on every label. |
| 5 | Organic & premium cues | Organic or premium options are clearly flagged when available. |

CLOSING

A São Paulo Launch, Built on Fit

São Paulo offers the income, infrastructure, and cultural familiarity for Costco's warehouse-club model to succeed — provided the brand localizes its assortment, speaks with warmth, and earns trust through compliant, omnichannel advertising.

SOURCES

- World Bank — Brazil GDP per capita data
- IBGE (Brazilian Institute of Geography and Statistics) — household consumption & earnings
- Statista (2025) — advertising spending in Brazil
- Cultural Atlas (2024) — Brazilian family & social norms
- Pinheiro Neto Advogados (2023); CONAR (2023) — advertising regulation
- DataReportal (2024) — Brazilian media & digital consumption